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2027 CYCLE

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CUET UG

Accountancy

Analysis of Financial Statements

Official Syllabus Unit V · Class 12 · CUET UG 2027 Cycle Notes

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Syllabus Alignment

Sub-topic	Official syllabus pointer (NTA CUET(UG) Accountancy syllabus 2026, the current 2027 baseline, Unit V)	Skills the questions test
Financial statements of a company	Financial Statements of a Company: Preparation of simple financial statements of a company in the prescribed form with major headings and sub headings.	Placing items under the correct Schedule III heading and reading the vertical format on sight.
Financial analysis	Financial Analysis: Meaning, Significance, Purpose and Limitations.	Saying what analysis can and cannot reveal, and matching each user with the question they ask.
Tools of financial analysis	Tools for Financial Analysis: Comparative statements, Common size statements.	Building both statements, computing absolute and % changes, reading percentages against the right base.
Accounting ratios	Accounting Ratios: Meaning and Objectives and types: Liquidity Ratio, Solvency Ratio, Activity Ratio, Profitability Ratio.	Computing each ratio from given figures, naming its family, interpreting the result.
Cash Flow Statement (listed in the syllabus)	Cash Flow Statement: Meaning and Objectives, Preparation, Adjustments related to depreciation, amortization, dividend and tax, purchase and profit or loss on sale of non-current assets (as per revised standard issued by ICAI).	Classifying flows into the three activities and preparing the statement by the indirect method with adjustments.

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EXAM PATTERN

CUET UG pattern (NTA official information bulletin and syllabus, 2026 cycle — the current 2027 baseline): each subject paper carries **50 compulsory questions** in **60 minutes**, with +5 for every correct answer and −1 for every incorrect answer. The Accountancy paper (subject code 301) maps strictly to NCERT Class 12, and Unit V closes the syllabus by turning the statements you learned to build into tools that judge a company's health.

Financial Statements of a Company: The Report Card

A company's financial statements are its yearly report card. One document — the Balance Sheet — shows the position **on a given date**: what the company owns and what it owes. The other — the Statement of Profit and Loss — shows the **performance of the year**: what the company earned and what it spent. And the Companies Act prescribes the shape of both, so that every analyst reads every company in the same language.

- **Prescribed form: Schedule III** of the Companies Act, 2013 fixes the major headings and sub-headings of both statements, in a **vertical** layout.
- **Why a fixed form matters:** every company files under the same headings, so comparison — the heart of this unit — becomes possible at all.
- **Two statements, two jobs:** the Balance Sheet answers "where do things stand?", the Statement of P&L answers "how did the year go?".
- **Notes to accounts:** the fine print under each heading; the statements often simply say "see Note 7".

The vertical Balance Sheet: major headings

- **Equity and Liabilities:** (1) **Shareholders' funds** — share capital, reserves and surplus; (2) **Non-current liabilities** — long-term borrowings, long-term provisions; (3) **Current liabilities** — trade payables, other current liabilities, short-term provisions.
- **Assets:** (1) **Non-current assets** — property, plant and equipment, intangible assets, non-current investments, long-term loans; (2) **Current assets** — inventories, trade receivables, cash and cash equivalents.
- **Non-current means lasting:** assets to be held, and liabilities to be settled, beyond **twelve months** from the reporting date.
- **Current means turning:** items that convert to cash, or fall due, **within** twelve months — the liquidity zone this unit keeps returning to.

A small company example, in the prescribed form

Particulars (Nirvaan Ltd, as at 31 March 2025)	₹
I. Equity and Liabilities	
1. Shareholders' funds	**10,00,000**
(a) Share capital	8,00,000
(b) Reserves and surplus	2,00,000
2. Non-current liabilities	**3,50,000**
(a) Long-term borrowings	3,00,000
(b) Long-term provisions	50,000
3. Current liabilities	**2,30,000**
(a) Trade payables	1,60,000

Particulars (Nirvaan Ltd, as at 31 March 2025)	₹
(b) Other current liabilities	40,000
(c) Short-term provisions	30,000
Total equity and liabilities	**15,80,000**
II. Assets	
1. Non-current assets	**9,00,000**
(a) Property, plant and equipment (tangible)	7,00,000
(b) Other intangible assets	50,000
(c) Non-current investments	1,50,000
2. Current assets	**6,80,000**
(a) Inventories	2,80,000
(b) Trade receivables	2,20,000
(c) Cash and cash equivalents	1,30,000
(d) Short-term loans and advances	50,000
Total assets	**15,80,000**

Check the two totals: 10,00,000 + 3,50,000 + 2,30,000 = 15,80,000, and 9,00,000 + 6,80,000 = 15,80,000 — the two sides always agree, because they are two views of the same money.

The Statement of Profit and Loss: major headings

Particulars (Nirvaan Ltd, year ended 31 March 2025)	₹
I. Revenue from operations	7,50,000
II. Other income	60,000
III. Total income (I + II)	8,10,000
IV. Expenses:	
(a) Cost of materials consumed	3,00,000
(b) Employee benefit expenses	1,50,000
(c) Finance costs	20,000
(d) Depreciation and amortisation	66,000
(e) Other expenses	84,000
Total expenses (IV)	6,20,000
V. Profit before tax (III − IV)	1,90,000

Particulars (Nirvaan Ltd, year ended 31 March 2025)	₹
VI. Tax expense	57,000
VII. Profit for the year (V − VI)	1,33,000

- **Depreciation and amortisation:** the year's writing-down of tangible assets (depreciation) and of intangible assets such as patents (amortisation).
- **Finance costs:** interest and similar charges on borrowings — they sit here, inside expenses, before profit is found.
- **Profit before tax → tax → profit for the year:** the three-line finish that every question in this unit builds on.

Financial Analysis: Reading Between the Lines

Two students score 80. One rose from 60, the other slipped from 95. The same number tells opposite stories. Statements behave the same way: ₹1,33,000 profit means little until you ask — compared to what? **Financial analysis** is the discipline of reading the figures **with their context** so that they start giving judgements, not just amounts.

- **Meaning:** financial analysis means systematically examining the figures in the financial statements to judge profitability, efficiency and solvency.
- **It turns data into judgements:** a statement **reports**; analysis **concludes**.
- **It is comparison, always:** against past years, other firms, or a benchmark.

Why it matters: significance and purpose

- **Profitability picture:** shows whether the business earns enough on its sales and on the money employed in it.
- **Short-term solvency:** can the firm pay the dues arriving in the next twelve months — suppliers, taxes, bills?
- **Long-term solvency:** can it carry its loans and their interest for years without strain?
- **Operating efficiency:** how hard the assets work — how fast stock sells, how quickly customers pay.
- **Makes comparison possible:** percentage tools even allow firms of **different sizes** to be compared fairly.
- **Simplifies figures:** one well-chosen ratio can summarise pages of numbers.

The purpose, in one line: to give every user the specific answer they need for a **decision**. Analysis also **diagnoses** — it locates the weak spots: rising costs, slow collections, heavy debt — and helps **forecast**, because past trends are the raw material for sensible estimates.

User of the statements	The question analysis answers for them
Management	Where are we weak — costs, collections, debt? What must change next year?
Investors	Is the profit healthy, and the firm safe enough to buy into?

User of the statements	The question analysis answers for them
Banks and lenders	Can the firm repay on time and carry its interest bill?
Employees	Is the firm stable enough for wages, bonuses and careers?
Government	Is the firm paying its dues and following the rules?

What analysis cannot do: the limitations

Limitation	Why it matters
Based on past data	Statements describe last year. They cannot promise anything about next year.
Window dressing	Books can be dressed up before closing day, so figures may look better than reality.
Ignores price changes	₹1,00,000 in two different years is not the same purchasing power, but the statements treat it as one.
Ignores qualitative facts	Staff quality, brand image and management skill never appear in the numbers.
One year misleads	A single year's figures, without comparison, support almost no judgement at all.
Different policies	Two firms may value stock differently — their ratios then differ without any real difference in business.

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EVERYDAY EXAMPLE — THE MEDICAL CHECK-UP

A blood test report is a page of numbers; the **doctor** turns it into a diagnosis by reading the readings **together** and **against past reports**. Financial analysis is that doctor: the statements are the test reports, ratios are the readings (blood pressure, sugar level), and no single reading means much alone. And exactly like a check-up, the report describes **today** — it is evidence, not a guarantee about the future.

Comparative Statements: This Year vs Last Year

A scorecard that shows only this over's runs tells you very little. You want last over's total next to it, and the difference. A **comparative statement** gives the financial statements exactly that treatment: two years are placed side by side, the rupee change is computed, and — the important step — the change is also expressed as a **percentage** of the earlier year. Rupee changes ignore size; percentage changes make years truly comparable.

- **Two standard forms:** the **comparative income statement** (how the profit trend moved) and the **comparative balance sheet** (how the position moved).

- **Four columns, always:** previous-year figure, current-year figure, absolute change, % change.
- **The base is sacred:** every % is computed on the **previous year's** figure — never on the current year, never on the bigger number.

THE TWO COMPUTATIONS OF EVERY ROW

$$\text{Absolute change} = \text{Current-year figure} - \text{Previous-year figure}$$

$$\%\ \text{change} = \frac{\text{Absolute change}}{\text{Previous-year figure}} \times 100$$

The format

Particulars	2024 (₹)	2025 (₹)	Absolute change (₹)	% change
I. Revenue from operations	x	x	x	x
II. Other income	x	x	x	x
III. Total income (I + II)	x	x	x	x
IV. Expenses:				
— individual expense lines	x	x	x	x
Total expenses	x	x	x	x
V. Profit before tax (III − IV)	x	x	x	x
VI. Tax expense	x	x	x	x
VII. Profit after tax (V − VI)	x	x	x	x

Worked example — Nirvaan Ltd, fully computed

Take the 2025 Statement of P&L from the format section and put 2024 beside it. Every change and every percentage below is computed row by row — check any one of them: % change = absolute change ÷ **2024** figure × 100.

Particulars	2024 (₹)	2025 (₹)	Absolute change (₹)	% change
I. Revenue from operations	6,00,000	7,50,000	+1,50,000	+25.00
II. Other income	40,000	60,000	+20,000	+50.00
III. Total income (I + II)	6,40,000	8,10,000	+1,70,000	+26.56
IV. Expenses:				
(a) Cost of materials consumed	2,40,000	3,00,000	+60,000	+25.00

Particulars	2024 (₹)	2025 (₹)	Absolute change (₹)	% change
(b) Employee benefit expenses	1,20,000	1,50,000	+30,000	+25.00
(c) Finance costs	15,000	20,000	+5,000	+33.33
(d) Depreciation and amortisation	60,000	66,000	+6,000	+10.00
(e) Other expenses	65,000	84,000	+19,000	+29.23
Total expenses	5,00,000	6,20,000	+1,20,000	+24.00
V. Profit before tax (III − IV)	1,40,000	1,90,000	+50,000	+35.71
VI. Tax expense	42,000	57,000	+15,000	+35.71
VII. Profit after tax (V − VI)	98,000	1,33,000	+35,000	+35.71

Reading the statement like an analyst:

- **Sales rose 25%,** but profit rose 35.71% — because total expenses grew only 24%. Growth with falling relative cost is a healthy signature.
- **Finance costs grew fastest** (+33.33%): a small head, but its trend deserves attention — it is the price of carrying debt.
- **Total income grew 26.56%,** slower than other income's 50% — one head can move sharply without moving the total much.
- **One warning before you compute:** the current-year figure never sits in the denominator, and a **negative base** (a profit turning into a loss) makes the % meaningless — state that reversal in words instead of computing it.

Common-Size Statements: Everything as a Slice

How do you compare a food cart with a restaurant chain? Their rupee columns are in different leagues — but **slices** work for both. Say "rent ate 8% of sales" and suddenly the cart and the chain are on one page. A **common-size statement** restates every item as a percentage of a common base: **revenue from operations** for the income statement, and the **total of the balance sheet** for the balance sheet. Each column totals 100, and size stops mattering.

- **One base per statement:** revenue from operations (income statement) or the balance-sheet total (balance sheet) — every other item is divided by it.
- **Read vertically:** which head eats the biggest slice of sales? Which slice shrank?
- **Best tool for cross-firm comparison:** two firms of very different sizes can be laid over each other once both are in percentages.

ONE DIVISION, REPEATED DOWN THE COLUMN

$$\text{Each item (\%)} = \frac{\text{Item amount}}{\text{Base figure}} \times 100$$

Base (income statement) = Revenue from operations

Base (balance sheet) = Total of the balance sheet

The format

Particulars	Absolute (₹)	% of revenue from operations
I. Revenue from operations	x	100.00
II. Other income	x	x
III. Total income (I + II)	x	x
IV. Expenses (each line + total)	x	x
V. Profit before tax (III − IV)	x	x
VI. Tax expense	x	x
VII. Profit after tax (V − VI)	x	x

Worked example — Nirvaan Ltd, 2025, fully computed

Divide each 2025 figure by revenue from operations of ₹7,50,000 and multiply by 100. Note how the slices add up: the expense slices total 82.67%, and 108.00 − 82.67 = 25.33, the profit-before-tax slice.

Particulars	2025 (₹)	% of revenue from operations
I. Revenue from operations	7,50,000	100.00
II. Other income	60,000	8.00
III. Total income (I + II)	8,10,000	108.00
(a) Cost of materials consumed	3,00,000	40.00
(b) Employee benefit expenses	1,50,000	20.00
(c) Finance costs	20,000	2.67
(d) Depreciation and amortisation	66,000	8.80
(e) Other expenses	84,000	11.20
Total expenses	6,20,000	82.67
V. Profit before tax (III − IV)	1,90,000	25.33
VI. Tax expense	57,000	7.60
VII. Profit after tax (V − VI)	1,33,000	17.73

Spot the story in the slices: materials take 40 paise of every rupee of sales, people take 20 paise, and 17.73 paise survive as profit after tax. If next year's materials slice creeps to 43%, the statement flags it instantly — no rupee column needed.

The whole point: two firms, one table

Lay a small firm beside a large one — Micro Ltd, revenue ₹2,00,000 with total expenses of ₹1,60,000 (80%) and profit after tax of ₹28,000 (14%); Mega Ltd, revenue ₹20,00,000 with total expenses of ₹17,00,000 (85%) and profit after tax of ₹2,10,000 (10.5%). Mega is **ten times bigger** in rupees, yet Micro keeps the fatter slice: 14 paise of profit per rupee of sales against Mega's 10.5. Rupee columns would bury that comparison; percentages surface it in one line.

Accounting Ratios: One Number, One Story

A run rate turns 42 runs in 48 balls into one number anyone can judge. An accounting ratio does the same for financial statements: it divides one figure by another so the pair collapses into a single, judgeable number. Ratios are the workhorses of financial analysis — each one answers one small question, and together they form the health check this unit has been building towards.

- **Meaning:** a ratio is a mathematical relation between two figures — a part over a whole, or a year's flow over the balance that carried it.
- **Objectives:** simplify pages of data, judge profitability and solvency, compare across years and firms, and locate trends worth investigating.
- **Four families: Liquidity** (can we pay the near dues?), **Solvency** (can we carry the long-term debt?), **Activity** (how fast do assets turn into sales?), **Profitability** (is each rupee of sales profitable?).

The figures every ratio below reuses

To keep the arithmetic clean, one small company — **Steady Ltd** — supplies every number in this section. Its figures are chosen so that each division lands on a tidy answer.

Steady Ltd, 31 March 2025 — figures every ratio reuses	₹
Current assets — inventory 1,40,000 + trade receivables 1,00,000 + cash 40,000 + prepaid expenses 20,000	3,00,000
Current liabilities	1,00,000
Shareholders' funds · long-term borrowings · total assets	6,00,000 · 3,00,000 · 10,00,000
Revenue from operations (net credit portion 4,50,000) · cost of revenue	8,00,000 · 6,00,000
Operating expenses · finance costs (interest on borrowings)	80,000 · 20,000
Net profit before tax · tax @ 30% · net profit after tax	1,00,000 · 30,000 · 70,000
Inventory: opening → closing	1,00,000 → 1,40,000
Trade receivables: opening → closing	80,000 → 1,00,000

Steady Ltd, 31 March 2025 — figures every ratio reuses	₹
Trade payables: opening → closing	40,000 → 60,000
Net credit purchases	3,00,000

Liquidity ratios: can we pay this year's dues?

- **The question:** are current assets enough to cover current liabilities?
- **Two ratios answer it:** the **current ratio** counts everything; the **quick ratio** removes the slow-moving parts.
- **Quick assets:** current assets − inventory − prepaid expenses. Inventory must first be **sold**, and prepayments cannot be cashed in — both are excluded.
- **Benchmarks:** 2:1 and 1:1 are the commonly quoted ideals — read them with the trend, not as pass-fail marks.

LIQUIDITY RATIOS

$$\text{Current ratio} = \frac{\text{Current assets}}{\text{Current liabilities}}$$

$$\text{Quick assets} = \text{Current assets} - \text{Inventory} - \text{Prepaid expenses}$$

$$\text{Quick ratio} = \frac{\text{Quick assets}}{\text{Current liabilities}}$$

WORKED EXAMPLE — STEADY LTD'S TWO LIQUIDITY RATIOS

- **Current ratio:** 3,00,000 ÷ 1,00,000 = **3:1** — well above the 2:1 benchmark.
- **Quick assets:** 3,00,000 − 1,40,000 − 20,000 = ₹1,40,000.
- **Quick ratio:** 1,40,000 ÷ 1,00,000 = **1.4:1** — above the 1:1 benchmark.

The reading: even without selling a single item of stock or waiting for a single prepayment, Steady can cover its current dues 1.4 times over.

Solvency ratios: can we carry the long-term debt?

- **The question:** is the debt load safe for **years**, not months?
- **Owners vs lenders:** these ratios weigh shareholders' funds against long-term borrowings — who really finances the assets?
- **Interest coverage adds income:** profit before interest and tax, divided by the interest bill, shows how many times over the profit can pay it.

SOLVENCY RATIOS

$$\text{Debt-Equity ratio} = \frac{\text{Long-term borrowings}}{\text{Shareholders' funds}}$$

$$\text{Proprietary ratio} = \frac{\text{Shareholders' funds}}{\text{Total assets}}$$

$$\text{Total assets to debt ratio} = \frac{\text{Total assets}}{\text{Long-term borrowings}}$$

$$\text{Interest coverage ratio} = \frac{\text{Profit before interest and tax}}{\text{Interest on long-term borrowings}}$$

WORKED EXAMPLE — STEADY LTD'S FOUR SOLVENCY RATIOS

- **Debt-Equity:** 3,00,000 ÷ 6,00,000 = **0.5:1** — borrowings are half the owners' stake.
- **Proprietary ratio:** 6,00,000 ÷ 10,00,000 = **0.6:1** — owners' funds finance 60% of the assets.
- **Total assets to debt:** 10,00,000 ÷ 3,00,000 = **3.33:1** — assets stand more than three times behind the long-term debt.
- **Interest coverage:** profit before interest and tax = 1,00,000 + 20,000 = ₹1,20,000; ratio = 1,20,000 ÷ 20,000 = **6 times** — profit could pay the interest bill six times over.

Activity (turnover) ratios: how fast do assets become sales?

- **The question:** are stock, receivables and payables **moving** — or sleeping?
- **Shape of every turnover ratio:** a year's **flow** (cost of revenue, credit sales, credit purchases) over the **balance** that carried it.
- **Average, not closing:** when opening and closing figures are both given, use their average — the year's flow passed over the balance **all year long**.

ACTIVITY RATIOS

$$\text{Average} = \frac{\text{Opening} + \text{Closing}}{2}$$

$$\text{Inventory turnover} = \frac{\text{Cost of revenue from operations}}{\text{Average inventory}}$$

$$\text{Receivables turnover} = \frac{\text{Net credit revenue from operations}}{\text{Average trade receivables}}$$

$$\text{Receivable days} = \frac{365}{\text{Receivables turnover}}$$

$$\text{Payables turnover} = \frac{\text{Net credit purchases}}{\text{Average trade payables}}$$

$$\text{Working capital turnover} = \frac{\text{Revenue from operations}}{\text{Working capital}}$$

WORKED EXAMPLE — STEADY LTD TURNS ITS ASSETS OVER

- **Inventory turnover:** average inventory = (1,00,000 + 1,40,000) ÷ 2 = ₹1,20,000; ratio = 6,00,000 ÷ 1,20,000 = **5 times** — stock clears in 365 ÷ 5 = **73 days**.
- **Receivables turnover:** average receivables = (80,000 + 1,00,000) ÷ 2 = ₹90,000; ratio = 4,50,000 ÷ 90,000 = **5 times** — customers pay, on average, in **73 days**.
- **Payables turnover:** average payables = (40,000 + 60,000) ÷ 2 = ₹50,000; ratio = 3,00,000 ÷ 50,000 = **6 times**.
- **Working capital turnover:** working capital = 3,00,000 − 1,00,000 = ₹2,00,000; ratio = 8,00,000 ÷ 2,00,000 = **4 times** — every rupee of working capital carries ₹4 of annual sales.

Profitability ratios: is each rupee of sales profitable?

- **Margins, layer by layer: gross profit** (after direct cost), **operating profit** (after operating expenses), **net profit** (after everything).
- **The companion pair:** operating ratio measures the **cost** slice, operating profit ratio the **profit** slice — the two must always add to 100%.
- **State your profit:** where tax is given, most answers use net profit **after** tax for the NP ratio; say which one you used.

PROFITABILITY RATIOS

$$\text{GP ratio} = \frac{\text{Gross profit}}{\text{Revenue from operations}} \times 100$$

$$\text{NP ratio} = \frac{\text{Net profit}}{\text{Revenue from operations}} \times 100$$

$$\text{Operating ratio} = \frac{\text{Cost of revenue} + \text{Operating expenses}}{\text{Revenue from operations}} \times 100$$

$$\text{Operating profit ratio} = \frac{\text{Operating profit}}{\text{Revenue from operations}} \times 100$$

WORKED EXAMPLE — STEADY LTD'S MARGINS

- **Gross profit:** 8,00,000 − 6,00,000 = ₹2,00,000 → GP ratio = 2,00,000 ÷ 8,00,000 × 100 = **25%**.
- **Operating profit:** 2,00,000 − 80,000 = ₹1,20,000 → operating profit ratio

  1,20,000 ÷ 8,00,000 × 100 = 15%.

- **Operating ratio:** (6,00,000 + 80,000) ÷ 8,00,000 × 100 = **85%** — and 85% + 15% = 100%, the built-in cross-check.
- **NP ratio:** 70,000 ÷ 8,00,000 × 100 = **8.75%** (profit after tax) — the final margin after every cost, tax included.

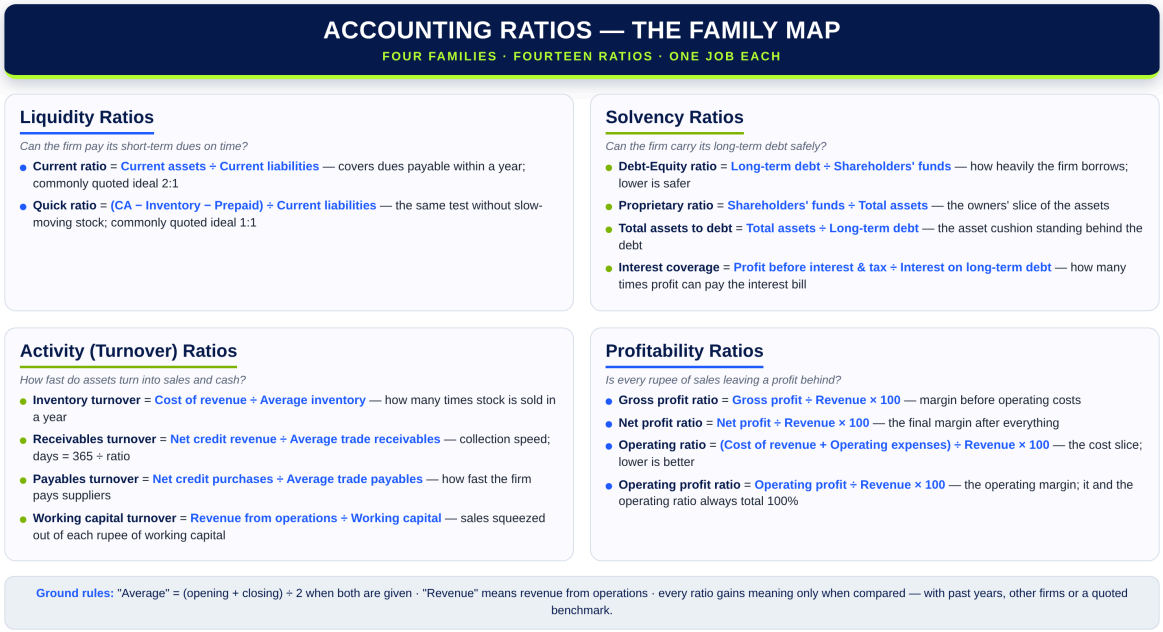


Figure 1: The ratio family map — four families, every Class 12 ratio and its one-line job.

Cash Flow Statement: Where the Cash Actually Went

A firm can report a handsome profit and still fail to pay its electricity bill. Profit is measured on paper; cash is counted in the bank — and the two part ways the moment depreciation enters, customers buy on credit, or suppliers wait to be paid. The **cash flow statement** follows the actual money: it takes the opening cash balance, traces every movement of the year, and lands exactly on the closing balance shown in the balance sheet.

- **Meaning:** a statement showing the actual inflows and outflows of cash during the year, grouped into three activities.
- **Objectives:** show the cash story behind the profit, test the firm's ability to generate cash, and reconcile opening cash to closing cash.
- **The built-in check:** opening cash + net change = closing cash — the balance sheet must agree with the statement, to the rupee.

The three activities: the whole classification

Activity	What it covers	Examples
Operating	The main revenue-producing activities, plus working-capital changes and tax paid.	Cash from customers; payments to suppliers and employees; income tax paid.
Investing	Buying and selling long-term assets and investments.	Purchase or sale of machinery, land, investments; interest and dividend **received**.
Financing	Changes in owners' capital and in borrowings.	Shares or debentures issued; loans raised or repaid; interest paid; dividend paid.

- **One convention, kept simple (revised AS-3, ICAI, as taught at Class 12):** interest and dividend **paid** are **financing** outflows; interest and dividend **received** are **investing** inflows (for a non-financial company).
- **Tax paid is operating.** It follows the profit the business produced.
- **Non-cash transactions never appear:** shares issued to buy machinery, bonus shares, conversion of debentures into shares — no cash moved, so no line.
- **Amortisation travels with depreciation:** both are non-cash write-offs, and both are added back.

The indirect method, step by step

1. **Start from net profit:** net profit before tax = profit after tax + tax.
2. **Add back non-cash and non-operating items:** depreciation, amortisation, loss on sale of assets, interest (finance cost).
3. **Adjust working-capital changes:** an increase in a current asset, or a decrease in a current liability, **uses** cash — subtract it. The reverse adds.
4. **Deduct income tax paid** → this completes **net cash from operating activities**.
5. **List the investing and financing flows:** asset sales, share issues and loans add cash; asset purchases, redemptions, interest and dividends subtract it.
6. **Total the three nets** — the sum must equal closing cash − opening cash. If it does not, hunt for the missed adjustment.

THE TWO LINES THAT CLOSE EVERY QUESTION

$$\text{Net change in cash} = \text{Operating} + \text{Investing} + \text{Financing}$$

$$\text{Net change in cash} = \text{Closing cash} - \text{Opening cash}$$

Worked example — Sarthak Ltd, every line verified

Particulars	31.3.2024 (₹)	31.3.2025 (₹)
I. Equity and Liabilities		
1. Shareholders' funds	**6,70,000**	**8,60,000**
(a) Share capital	5,00,000	6,00,000
(b) Reserves and surplus	1,70,000	2,60,000
2. Long-term borrowings	**2,00,000**	**3,00,000**
3. Current liabilities	**1,30,000**	**1,20,000**
(a) Trade payables	1,10,000	90,000
(b) Other current liabilities	20,000	30,000
Total equity and liabilities	**10,00,000**	**12,80,000**
II. Assets		

Particulars	31.3.2024 (₹)	31.3.2025 (₹)
1. Non-current assets	**7,00,000**	**8,40,000**
(a) Machinery	6,00,000	7,40,000
(b) Non-current investments	1,00,000	1,00,000
2. Current assets	**3,00,000**	**4,40,000**
(a) Inventories	1,30,000	1,60,000
(b) Trade receivables	1,20,000	1,50,000
(c) Cash and cash equivalents	50,000	1,30,000
Total assets	**10,00,000**	**12,80,000**

Additional information:

- **Depreciation on machinery** for the year: ₹60,000.
- **Machinery sold:** costing ₹80,000, written-down value on the date of sale ₹50,000, sold for ₹40,000 — a **loss on sale of ₹10,000**.
- **Profit for the year:** ₹1,30,000, after tax of ₹50,000, all paid in cash.
- **Dividend paid** ₹40,000; **interest on borrowings paid** ₹20,000 (the extra ₹1,00,000 was borrowed on 31 March 2025). **Fresh shares issued for cash:** ₹1,00,000.
- **Reserve check:** 1,70,000 + 1,30,000 − 40,000 = ₹2,60,000 — the reserves and surplus movement ties out with profit minus dividend.

Old machinery → new machinery: the purchase figure hides inside the Machinery Account. Total the side you know; the balancing figure is the purchase.

Dr. Machinery A/c (at cost)	₹	Cr. Particulars	₹
To Balance b/d	6,00,000	By Depreciation	60,000
To Bank — purchases (balancing figure)	2,50,000	By Bank — sale proceeds	40,000
		By Statement of P&L — loss on sale	10,000
		By Balance c/d	7,40,000
	8,50,000		**8,50,000**

The credit side totals ₹8,50,000, so the debit side must too — and since the opening balance is ₹6,00,000, purchases = 8,50,000 − 6,00,000 = **₹2,50,000**.

Now the statement itself:

Cash Flow Statement for the year ended 31 March 2025	₹	₹
A. Cash flow from operating activities		
Net profit before tax (1,30,000 + 50,000)		1,80,000
Add: Depreciation	60,000	
Add: Loss on sale of machinery	10,000	
Add: Interest on borrowings (finance cost)	20,000	
—	90,000	
Operating profit before working-capital changes		2,70,000
Less: Increase in inventories	(30,000)	
Less: Increase in trade receivables	(30,000)	
Less: Decrease in trade payables	(20,000)	
Add: Increase in other current liabilities	10,000	
—	(70,000)	
Cash generated from operations		2,00,000
Less: Income tax paid		(50,000)
Net cash from operating activities		1,50,000
B. Cash flow from investing activities		
Sale of machinery	40,000	
Purchase of machinery	(2,50,000)	
Net cash used in investing activities		(2,10,000)
C. Cash flow from financing activities		
Issue of share capital	1,00,000	
Loan raised	1,00,000	
Interest paid	(20,000)	
Dividend paid	(40,000)	
Net cash from financing activities		1,40,000
Net increase in cash (A + B + C)		80,000
Add: Cash and cash equivalents — opening		50,000
Cash and cash equivalents — closing		1,30,000

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Verify the closing line against the balance sheet: 1,50,000 − 2,10,000 + 1,40,000 = ₹80,000 net change, and 50,000 + 80,000 = **₹1,30,000** — exactly the cash figure in the 31 March 2025 balance sheet. Every line holds.

Ratio & Formula Cheatsheet

RATIO & FORMULA CHEATSHEET — UNIT V

Ratio	Formula	What it tells
Current ratio	Current assets ÷ Current liabilities	Can the firm pay its dues within a year? (ideal 2:1)
Quick ratio	(CA − Inventory − Prepaid) ÷ Current liabilities	The same test without slow-moving stock (ideal 1:1)
Debt-Equity ratio	Long-term borrowings ÷ Shareholders' funds	How heavily the firm borrows; lower is safer
Proprietary ratio	Shareholders' funds ÷ Total assets	The owners' slice of the assets
Total assets to debt	Total assets ÷ Long-term debt	The asset cushion standing behind the debt
Interest coverage	Profit before interest & tax ÷ Interest on long-term debt	How many times profit can pay the interest bill
Inventory turnover	Cost of revenue ÷ Average inventory	How fast stock sells; days = 365 ÷ ratio
Receivables turnover	Net credit revenue ÷ Average trade receivables	Collection speed; days = 365 ÷ ratio
Payables turnover	Net credit purchases ÷ Average trade payables	How fast the firm pays its suppliers
Working capital turnover	Revenue from operations ÷ Working capital	Sales squeezed from each ₹ of working capital
GP ratio · NP ratio	Gross profit ÷ Revenue × 100 · Net profit ÷ Revenue × 100	The margin before operating costs · the final margin after everything
Operating · Operating profit ratio	(Cost of revenue + Op. expenses) ÷ Revenue × 100 · Operating profit ÷ Revenue × 100	The cost slice · the profit slice — together always 100%

Average rule: when opening and closing figures are both given, average = (opening + closing) ÷ 2. **Comparative % change:** absolute change ÷ **previous-year** figure × 100. **Common-size:** every item ÷ its base (revenue from operations, or the balance-sheet total) × 100.

Cash flow: activity	Typical inflows	Typical outflows
Operating	Cash from customers; other operating receipts	Payments to suppliers and employees; income tax paid
Investing	Sale of machinery and investments; interest and dividend received	Purchase of machinery, land, investments
Financing	Shares, debentures or loans raised	Redemption of borrowings; interest paid; dividend paid

Common Errors and Special Cases

COMMON ERRORS & SPECIAL CASES

The mistake students make	The correct treatment
Using closing inventory in a turnover ratio when opening and closing are both given	Use the **average**: (opening + closing) ÷ 2. The year's flow passed over the balance all year.
Counting inventory or prepaid expenses in quick assets	Quick assets = current assets − inventory − prepaid expenses; both must first become cash.
Treating interest coverage as a liquidity ratio	It is a **solvency** ratio — profit against long-term interest, not current dues against current assets.
Computing % change on a negative base	Meaningless. State the reversal in words: "profit of ₹1,00,000 turned into a loss of ₹50,000".
Classifying interest or dividend **paid** as an investing outflow	Under the Class 12 convention (revised AS-3, ICAI) both are **financing** outflows; interest and dividend **received** are investing inflows.
Dropping bank overdraft from current liabilities in the current ratio	Bank overdraft **is** a current liability — it stays in the current ratio's denominator.

The mistake students make	The correct treatment
Forgetting to add back non-cash items in operating cash flow	Depreciation, amortisation and loss on sale never touched cash — add them back before the working-capital changes.

- **Base check:** every % change divides by the **earlier** year — scan the column once before moving on.
- **Slice check:** in a common-size column the expense slices plus the profit slice come to 100; operating ratio + operating profit ratio = 100.
- **Cash check:** net change in cash must equal closing cash − opening cash, straight from the two balance sheets.

WORKED EXAMPLE — THE 60-SECOND CHECKING ROUTINE

A question gives: current assets ₹4,00,000 (inventory ₹1,50,000, prepaid expenses ₹10,000); current liabilities ₹2,50,000, including bank overdraft of ₹50,000; revenue ₹8,00,000; cost of revenue ₹6,00,000; opening inventory ₹50,000. Run the three checks:

- **Current ratio:** 4,00,000 ÷ 2,50,000 = **1.6:1** — the bank overdraft stayed inside current liabilities, where it belongs.
- **Quick ratio:** (4,00,000 − 1,50,000 − 10,000) ÷ 2,50,000 = 2,40,000 ÷ 2,50,000 = **0.96:1** — inventory and prepaid expenses left out.
- **Inventory turnover:** average = (50,000 + 1,50,000) ÷ 2 = ₹1,00,000 → 6,00,000 ÷ 1,00,000 = **6 times** — the average, never the closing figure.

Three checks, fifteen seconds each — this is the routine the traps table above describes.

The Whole Chapter on One Page

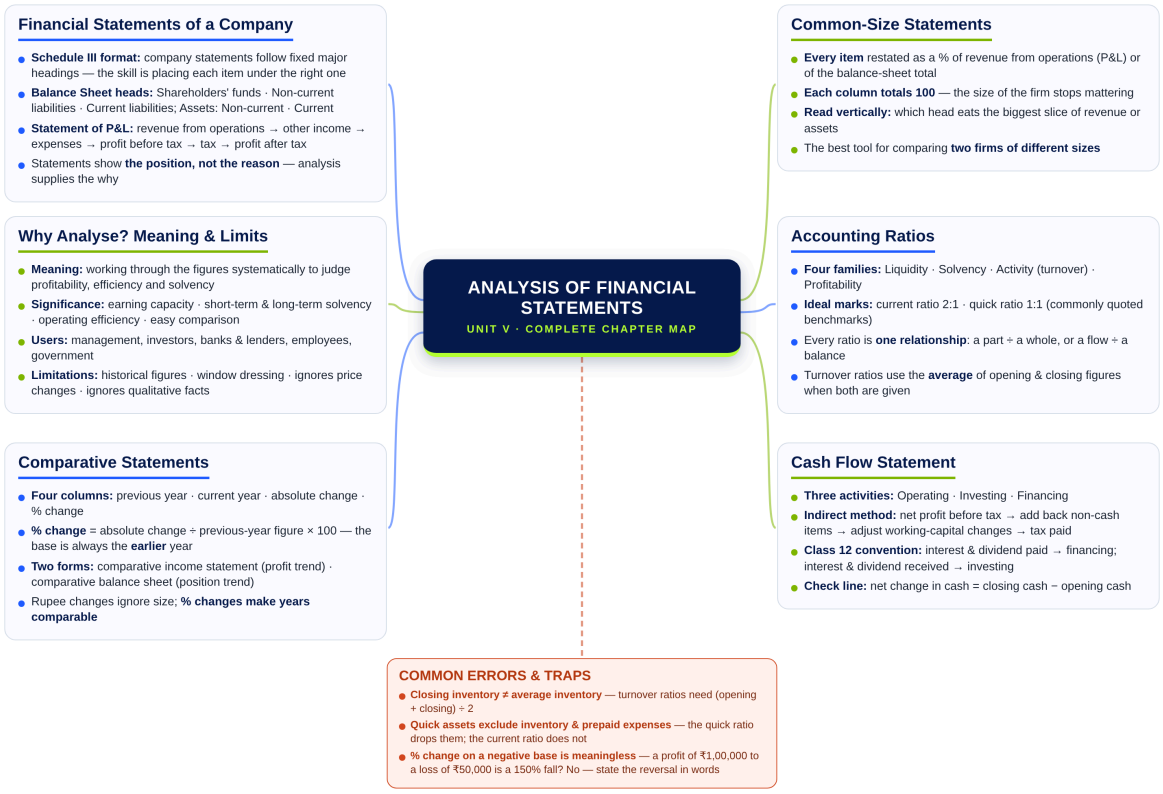


Figure 2: Chapter mindmap — the whole of Unit V, and the three traps that catch most students.

Practice Questions

Q1. The tool that restates every item of a statement as a percentage of one common base is the:

(A) Comparative statement
(B) Cash flow statement
(C) Common-size statement
(D) Ledger account

Q2. Revenue from operations was ₹4,00,000 in 2024 and ₹5,20,000 in 2025. The % change is:

(A) 25%
(B) 32%
(C) 130%
(D) 30%

Q3. Current assets of ₹3,60,000 include inventory of ₹1,20,000 and prepaid expenses of ₹20,000; current liabilities are ₹2,00,000. The quick ratio is:

(A) 1.1:1
(B) 1.8:1
(C) 2:1
(D) 0.9:1

Q4. Cost of revenue from operations is ₹6,00,000; opening inventory ₹1,50,000; closing inventory ₹90,000. The inventory turnover ratio is:

(A) 4 times **(B)** 5 times
(C) 6.67 times **(D)** 73 times

Q5. Profit before interest and tax is ₹1,20,000 and interest on long-term borrowings is ₹40,000. The interest coverage ratio is:

(A) 2 times **(B)** 4 times
(C) 3 times **(D)** 0.33 times

Q6. Under the Class 12 convention (revised AS-3, ICAI), dividend **paid** by a non-financial company is classified in the cash flow statement as:

(A) An operating activity **(B)** An investing activity
(C) Cash and cash equivalents **(D)** A financing activity

Q7. Cash paid to purchase machinery appears in the cash flow statement under:

(A) Investing activities **(B)** Financing activities
(C) Operating activities **(D)** It is never shown

Q8. In a common-size balance sheet, inventory of ₹1,20,000 against a balance-sheet total of ₹8,00,000 is shown as:

(A) 12% **(B)** 15%
(C) 20% **(D)** 66.7%

Q9. Revenue from operations ₹10,00,000; gross profit ₹2,50,000; operating expenses ₹1,00,000. The operating ratio is:

(A) 75% **(B)** 25%
(C) 85% **(D)** 15%

Q10. A company's cash generated from operations is ₹2,00,000. It paid tax of ₹40,000, bought machinery for ₹90,000, sold investments for ₹30,000, paid a dividend of ₹25,000 and issued shares for ₹1,00,000. The net change in cash is:

(A) ₹1,75,000 **(B)** ₹1,95,000
(C) ₹1,35,000 **(D)** ₹2,00,000

Solutions

Sol. Q1. A common-size statement expresses every item as a percentage of one base — revenue from operations for the income statement, the balance-sheet total for the balance

sheet. A comparative statement shows **rupee and % changes between years**; the cash flow statement tracks cash movements.

Answer: (C)

Sol. Q2. % change = absolute change ÷ **previous-year** figure × 100 = 1,20,000 ÷ 4,00,000 × 100 = **30%**. Dividing by 5,20,000 (which gives ≈23.08%) is the classic wrong-base error.

Answer: (D)

Sol. Q3. Quick assets = 3,60,000 − 1,20,000 (inventory) − 20,000 (prepaid) = ₹2,20,000. Quick ratio = 2,20,000 ÷ 2,00,000 = **1.1:1**. (The current ratio would be 3,60,000 ÷ 2,00,000 = 1.8:1 — option B.)

Answer: (A)

Sol. Q4. Average inventory = (1,50,000 + 90,000) ÷ 2 = ₹1,20,000. Turnover = 6,00,000 ÷ 1,20,000 = **5 times**. (6.67 times is the error of using closing inventory; 73 is the **days** figure — 365 ÷ 5.)

Answer: (B)

Sol. Q5. Interest coverage = profit before interest and tax ÷ interest on long-term borrowings = 1,20,000 ÷ 40,000 = **3 times**.

Answer: (C)

Sol. Q6. Under the revised AS-3 convention taught at Class 12, dividends **paid** are a **financing** outflow — a cost of raising and keeping owners' funds. Interest and dividend **received** are investing inflows.

Answer: (D)

Sol. Q7. Buying machinery is acquiring a long-term asset, so the cash goes out under **investing activities**. Only non-cash purchases (say, shares issued to buy machinery) stay off the statement entirely.

Answer: (A)

Sol. Q8. Common-size % = item ÷ balance-sheet total × 100 = 1,20,000 ÷ 8,00,000 × 100 = **15%**. (20% would come from dividing by revenue — the wrong base for a balance-sheet item.)

Answer: (B)

Sol. Q9. Cost of revenue = 10,00,000 − 2,50,000 = ₹7,50,000. Operating cost = 7,50,000 + 1,00,000 = ₹8,50,000. Operating ratio = 8,50,000 ÷ 10,00,000 × 100 = **85%**. The operating profit ratio is 15% — the two must total 100%.

Answer: (C)

Sol. Q10. Operating: 2,00,000 − 40,000 (tax) = ₹1,60,000. Investing: 30,000 − 90,000 = −₹60,000. Financing: 1,00,000 − 25,000 = ₹75,000. Net change = 1,60,000 − 60,000 + 75,000 = **₹1,75,000**.

Answer: (A)

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